Schaeffler India Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Indian arm of Germany's Schaeffler. Makes bearings, engine and clutch parts for car, two-wheeler, tractor and truck makers, industrial bearings for cement, steel, wind, rail and mining, sells spare parts to garages, and exports bearings to its parent's plants, mostly in Europe. Its financial year runs January to December.

Number	Value	What it means
Market cap	Rs 55,473 cr	What the market values the whole company at.
Q3 CY26 revenue (standalone)	Rs 3,005 cr	Sales for July-September 2026, up 27% on a year ago and a record.
Q3 CY26 EBITDA margin	18.7%	Operating profit per Rs 100 of sales, down from 19.1% in June on costlier inputs and fuel.
Q3 CY26 profit	Rs 370 cr	Net profit for the quarter, up about a fifth.
ROCE	About 28%	Profit earned on the money tied up in the business; high for a factory business.
Stock P/E	41x	A full price, typical for a steady compounder with a global parent.

2. Concall coverage

Quarter	Date	Transcript read?
Q4 CY23	Feb 2024	Yes (skimmed)
Q3 CY24	24 Oct 2024	Yes (key passages)
Q4 CY24	28 Feb 2025	Yes (key passages)
Q2 CY25	25 Jul 2025	Yes (key passages)
Q3 CY25	Oct/Nov 2025	Yes (key passages)
Q4 CY25	25 Feb 2026	Yes (key passages)
Q1 CY26	30 Apr 2026	Yes (key passages)
Q2 CY26	23 Jul 2026	Yes (key passages)
Q3 CY26	29 Oct 2026	Yes, read in full ★

Transcripts taken from the NSE filings because Screener's download stalled. Nine results calls over about three years.

Latest concall highlights: Q3 CY26 (call held 29 Oct 2026)

- Record revenue Rs 3,005 cr, up 27%. Car-maker sales up 35% on the GST cut demand boom, aftermarket up 22%, industrial bearings back to double-digit growth, exports up 46%.
- Plants are running at full capacity. Capex Rs 182 cr in the quarter, the highest yet.
- EBITDA margin slipped to 18.7% on raw material, fuel and currency costs tied to the West Asia crisis. Price hikes are being negotiated; it has historically recovered about 80-85% of such cost rises.
- Working capital rose to about 19% of sales: extra inventory for an unexpected jump in e-mobility demand, plus slower customer payments. Expected to correct by December.
- Exports above Rs 500 cr a quarter aren't a new base; the next quarter should be a bit lower. About 45% of exports go to Europe.
- Koovers (KRSV), the spare-parts e-commerce start-up it bought, is still loss-making and pulls consolidated margin down to 17.7%.

Business mix & capacity

Domestic vs export: Exports to group companies are about 17% of revenue; the rest is India. Domestic mix: automotive about 37%, industrial bearings 35%, aftermarket the rest.

Capacity use: Plants at full utilisation (Oct 2026). A fifth plant opened in Bangalore in mid-2025 with land to triple it, and a partial line started at Talegaon.

3. Earning Trigger thesis

The driver is steady double-digit growth from a balanced book: new engine and clutch part wins with car makers riding the GST cut boom, industrial bearings for cement, wind and rail, the aftermarket, and exports to the parent. It's showing in the numbers. Margins are stuck around 19% though, and this quarter input costs bit.

Trigger	What management said	Evidence so far	Time horizon	Strength
New business wins	Wins in lash adjusters, clutches, rocker arms and industrial bearings keep growth going	Revenue up 21% for nine months; every segment double-digit	Ongoing	Strong
Exports to parent	Exports grow as the group shifts sourcing to India	Up 46% this quarter, but not a new base	Lumpy	Moderate
New capacity	Bangalore plant and Talegaon line, more capex	Plants full; record capex this quarter	2026-27	Moderate
Margin	Hold around 19-20%	Crossed 20% once in 2025, now 18.7%	Ongoing	Moderate: costs need passing on

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	
New business	Yes	Significant new business wins in engine, clutch and industrial bearings (29 Oct 2026)
Margin up	No	Margin dipped on input costs
New management	No	
New capacity	Yes	Fifth plant inaugurated in Bangalore, partial line at Talegaon (25 Jul 2025); record capex this quarter (29 Oct 2026)
Big orders	No	
Turnaround	No	
Promoter buying	No	

The single concrete driver: A steady stream of new part wins with car makers and industrial customers, plus exports to the parent, keeps full plants growing at double digits.

3c. Margin bridge

EBITDA margin is 18.7%, about where it was a year ago and down from 19.1% in June. Raw material, fuel and currency costs rose with the West Asia crisis faster than prices could be raised; employee costs also rose. Management is negotiating price hikes and expects most of it back. (one-off)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
2024	Grow double digit with a balanced mix	Revenue grew double digit almost every quarter since	Delivered

Period	What was promised	What actually happened	Verdict
Feb 2025	Exports pick up after a weak 2024	Exports up 23% in H1 2025 and 46% this quarter	Delivered
Jul 2025	New Bangalore plant ramps up	Plants now full, capex stepping up	Delivered
Jul 2026	Price hikes in the second half to cover costs	Still in negotiation; margin dipped	Partly
2025	Koovers moves toward break-even	Still negative EBITDA	Partly

Narrative drift: The story has barely changed in three years: balanced portfolio, localisation, double-digit growth. The tone stays measured. The only loose thread is Koovers, the start-up acquisition that still loses money.

5. Bottom line

Durable earning trigger? → YES

Growth comes from many named part wins across autos, industry and exports, and it's in the reported numbers. It's a compounder rather than a step change.

Management consistent? → YES

Management has done roughly what it said for three years running and is straightforward about misses such as margins, working capital and Koovers.

6. Checkpoints for next quarter

- Price hikes recover most of the input-cost rise and margin climbs back
- Working capital comes down by December as promised
- Revenue keeps double-digit growth with exports only slightly lower

This is not investment advice. Do your own due diligence.